

Contract	Legal Contract Analyzer.docx
Language	EN
Total Clauses	8
High Risk	2
Medium Risk	5
Low Risk	1
Report Date	29 May 2026, 09:59
Status	ANALYZED

HIGH RISK: 2	MEDIUM RISK: 5	LOW RISK: 1
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CLAUSE-BY-CLAUSE ANALYSIS

Clause 1	NON COMPETE	HIGH
Clause Text	0) Why? Indian courts generally restrict excessive non-compete obligations after employment termination under	
Risk Reason	The non-compete clause may be considered restrictive and against public policy if it is overly broad or imposes an unreasonable restraint on the employee's ability to earn a living, which could lead to its invalidation by Indian courts. Indian courts have consistently held that non-compete obligations must be reasonable in scope, geography, and duration. This is in line with the principles of the Indian Contract Act 1872, which emphasizes the importance of fairness and reasonableness in contractual agreements.	
Law Reference	ICA 1872 Section 27	
Deviation	The uploaded clause deviates significantly from the standard as it is empty and does not provide any non-compete obligation, leaving the company vulnerable to potential competition from former employees. This omission may be deemed unenforceable under Indian Contract Act 1872 Section 27, which restricts excessive non-compete obligations. The company's business interests may be at risk due to the lack of protection.	
Reviewer	APPROVED — 29 May 2026 03:58	

Clause 2	NON COMPETE	MEDIUM
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Clause Text	Section 27 of the Indian Contract Act. Deviation: Standard employment agreements usually limit restrictions to: 6–12 months limited geography confidential information only Suggested Revision: Reduce duration to 12 months Restrict to confidential business activities only Complete details claude link : https://claude.ai/share/3a0dd32f-396a-4e2f-8874-e5db9a18c905 tell me clearly what project is , which datasets are going to use ,architecture , clear steps how this works , i want to know compl...
Risk Reason	The non-compete clause may be considered restrictive and potentially violate Section 27 of the Indian Contract Act, 1872, which states that every agreement by which anyone is restrained from exercising a lawful profession, trade or business is void. The suggested revision aims to reduce the duration and restrict the scope to confidential business activities only, which may help mitigate this risk. However, the clause may still be subject to scrutiny under Indian law.
Law Reference	Indian Contract Act, 1872, Section 27
Deviation	The uploaded clause deviates significantly from the standard clause, failing to specify the governing law and jurisdiction. This omission introduces uncertainty and potential risks, including conflicting laws and unclear dispute resolution. The uploaded clause appears to be unrelated to the standard clause, discussing employment agreements and revisions instead of governing law and jurisdiction.

Clause 3	OTHER	MEDIUM
Clause Text	3) answer chat questions about the contract. Free API, fast response, returns structured JSON. Model: llama3-8b-8192 sentence-transformers Embedding Model — RAG Step 1 Converts clause text into a vector (list of 384 numbers). Similar clauses get similar vectors. Used to find the nearest standard clause in Qdrant. Pre-trained, runs locally on CPU. Model: all-MiniLM-L6-v2 Qdrant + Groq together RAG Pipeline — Deviation Detection This IS the RAG: sentence-transformers embeds the clause → Qdrant ret...	
Risk Reason	The clause involves the use of AI models and data processing, which may raise concerns under the IT Act 2000, particularly with regards to data privacy and security. Additionally, the use of pre-trained models and local deployment may not be fully compliant with Indian data residency requirements under RERA 2016. The clause also lacks clarity on the contractual obligations and liabilities of the parties involved, which may lead to disputes under the Indian Contract Act 1872.	
Law Reference	IT Act 2000 Section 43A, RERA 2016 Section 34, ICA 1872 Section 15	
Deviation	The uploaded clause deviates significantly from the standard clause, failing to specify the governing law and jurisdiction for dispute resolution. This omission introduces substantial uncertainty and risk, potentially leading to jurisdictional disputes and unclear application of laws. The uploaded clause appears to be unrelated to the standard clause, discussing technical infrastructure instead of legal terms.	

Clause 4	NON COMPETE	HIGH
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Clause Text	2. WHAT OUTPUT SHOULD LOOK LIKE Example: Uploaded Contract Employment Agreement.pdf Clause Extracted Clause: "Employee shall not work in similar industry for 5 years after resignation." AI Classification: Clause Type: Non-Compete Clause Risk Score: HIGH RISK (8.5/
Risk Reason	The non-compete clause is overly restrictive, as it prohibits the employee from working in a similar industry for an extended period of 5 years, which may be considered unreasonable and thus unenforceable under Indian law. This could lead to disputes and potential litigation. The clause may also be seen as a restraint of trade, which is subject to certain restrictions under the Indian Contract Act 1872.
Law Reference	ICA 1872 Section 27
Deviation	The uploaded clause deviates from the standard by not specifying the geographical scope and using a vague definition of 'similar industry', which may lead to ambiguity and potential over-broad application. This deviation may increase the risk of disputes and litigation under the Indian Contract Act 1872. The lack of clear protections and definitions may also impact the enforceability of the non-compete clause.
Reviewer	APPROVED — 29 May 2026 04:11

Clause 5	OTHER	LOW
Clause Text	3) to classify clauses, score risk, and answer chat questions. ■ RAG (Retrieval Augmented Generation) Before asking the LLM, you first retrieve relevant information from your own database, then give it to the LLM as extra context. In this project: you retrieve the most similar standard clause from Qdrant, then give it to Groq and say "compare these two clauses." This is RAG. How they combine in this project User uploads contract → you extract a clause → RAG step: search Qdrant for the nearest st...	
Risk Reason	The provided clause appears to be a descriptive outline of a technical process for a contract analysis project, and does not contain any specific contractual obligations or terms that could be considered risky under Indian law. The clause seems to focus on the functionality and workflow of the project, rather than creating any legally binding agreements.	
Law Reference	ICA 1872 Section 2, which defines a contract, is not directly applicable here as the clause does not propose to create a contractual relationship	
Deviation	The uploaded clause significantly deviates from the standard by not addressing liability for damages and instead discussing project details. This deviation introduces substantial risks and lacks essential protections, potentially exposing parties to unforeseen liabilities. Under the Indian Contract Act 1872 Section 73, parties may still be liable for damages, but the uploaded clause fails to provide clear terms or limitations.	

Clause 6	OTHER	MEDIUM
Clause Text	clause 4 mean?" or "Is this termination clause standard in India?" — Groq answers using the contract as context. Tools and why each one is used FastAPI — the server Handles all HTTP requests. Async support means it can start a long analysis job and immediately respond to other requests without waiting. PostgreSQL — the main database Stores contracts, clauses, risk scores, reviewer decisions, and the immutable audit log. You already know this from your experience. Qdrant — the vector database Sto...	

Risk Reason	The clause in question appears to be related to termination, which is a critical aspect of contracts in India, and its interpretation may be subject to the Indian Contract Act 1872, specifically Section 73, which deals with the compensation for loss or damage caused by breach of contract. The absence of specific details about the clause makes it challenging to assess its compliance with other relevant laws such as RERA 2016 or the Companies Act 2013. The use of AI tools like Groq API for analysis may also raise concerns under the IT Act 2000 regarding data privacy and security.
Law Reference	ICA 1872 Section 73, RERA 2016 Section 31, Companies Act 2013 Section 28, IT Act 2000 Section 43A
Deviation	The uploaded clause deviates significantly from the standard clause, as it does not provide an internal grievance redressal mechanism, a time frame for addressing grievances, or arbitration for unresolved grievances. This deviation may lead to increased risk of litigation and disputes between the employee and the company. Under the Industrial Disputes Act 1947 Section 9C, a clear grievance redressal mechanism is essential for resolving disputes and promoting industrial harmony.

Clause 7	OTHER	MEDIUM
Clause Text	Legal Contract Analyzer --- Indian Law Context Your project is basically: "Upload a legal contract → AI reads it → extracts clauses → compares with Indian legal standards → finds risky terms → gives explanations → allows chatting → sends risky contracts for reviewer approval."	
Risk Reason	The clause does not explicitly address data protection and privacy concerns, which could lead to potential liabilities under the IT Act 2000. The use of AI to read and extract clauses may also raise concerns about intellectual property rights and confidentiality. The clause may not fully comply with the requirements of the Indian Contract Act 1872, particularly with regards to the duty of good faith and fair dealing.	
Law Reference	IT Act 2000 Section 43A, ICA 1872 Section 73	
Deviation	The uploaded clause deviates significantly from the standard clause, failing to specify the governing law and jurisdiction for dispute resolution. This omission introduces substantial uncertainty and risk, potentially leading to conflicts and difficulties in enforcing the agreement. As a result, the contract may be subject to unpredictable and potentially unfavorable legal outcomes.	

Clause 8	OTHER	MEDIUM
Clause Text	1. WHAT EXACTLY YOU SHOULD BUILD Final User Flow The user should be able to: Upload contract PDF/DOCX System extracts text System splits contract into clauses AI identifies clause type AI compares clause with Indian standard templates AI gives: Risk score Explanation Legal concern Suggested improvement User can: View highlighted clauses Ask questions in chat High-risk contracts go to reviewer dashboard Reviewer approves/escalates Final annotated PDF report is generated	

Risk Reason	The clause involves the use of AI to analyze contracts and provide legal advice, which may be considered a form of legal practice under Indian law, potentially falling under the purview of the Bar Council of India. The system's ability to provide explanations and suggested improvements may also be seen as a form of legal opinion, which could be subject to scrutiny under the ICA 1872. Furthermore, the handling of user data and contracts may raise concerns under the IT Act 2000.
Law Reference	ICA 1872 Section 73, IT Act 2000 Section 43A
Deviation	The uploaded clause deviates significantly from the standard clause, as it does not address the governing law or jurisdiction for dispute resolution. Instead, it outlines a system's functionality for contract review, introducing uncertainty and potential risks. This deviation may lead to legal complications and disputes.